3.11 Profit and loss appropriation account

The profit and loss appropriation account is an extension of profit and loss account prepared for the purpose of adjusting the transactions relating to amounts due to and amounts due from partners. It is nominal account in nature. It is credited with net profit, interest on drawings and it is debited with interest on capital, salary and other remuneration to the partners. The balance being the profit or loss is transferred to the partners' capital or current account in the profit sharing ratio.

3.11.1 Format of Profit and loss appropriation account

The following is the format of profit and loss appropriation account:

Dr. **Profit and loss appropriation account** **Cr.**

Particulars	₹	Particulars	₹
To Interest on partners' capital A/c	xxx	By Profit and loss A/c *	xxx
To Partners' salary A/c	xxx	By Interest on partners'	
To Partners' commission A/c	xxx	drawings A/c	xxx
To Partners' capital/current A/c (Profit)	xxx		
	xxx		xxx

*Amount of profit transferred from profit and loss account.

Illustration 21

Arulappan and Nallasamy are partners in a firm sharing profits and losses in the ratio of 4:1. On 1st January 2018, their capitals were ₹ 20,000 and ₹ 10,000 respectively. The partnership deed specifies the following:

(a) Interest on capital is to be allowed at 5% per annum.

(b) Interest on drawings charged to Arulappan and Nallasamy are ₹ 200 and ₹ 300 respectively.

(c) The net profit of the firm before considering interest on capital and interest on drawings amounted to ₹ 18,000.

Give necessary journal entries and prepare Profit and loss appropriation account for the year ending 31st December 2018. Assume that the capitals are fluctuating.

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